rise of developing economies in Asia has created new opportunities but also direct economic competitors for India. India's neighbours are in many respects democratizing and engaging new partners. West Asia (the Middle East) is reshaping itself, with greater normalization between the Gulf Arab states and Israel coexisting with continuing tensions involving Iran and the Palestinian question. Africa and Latin America are also transforming in a variety of ways, with individual countries and sub-regions moving in different directions and at varying speeds.

Under these conditions, India faces several strategic challenges. One, it must continue to prosper, secure itself, and modernize at a time when the international system, globalization, and global governance are undergoing significant changes. The idea that unfettered globalization renders benefits without risks can no longer be assumed. This will require a different approach to accelerating India's development. Two, India has a continuing need to ensure a peaceful and well-integrated neighbourhood in the face of its smaller neighbours' polarized domestic politics and the presence of more international partners. Three, India faces a formidable challenge from an assertive People's Republic of China, one that extends from their disputed boundary to regional competition, from economic and technological difficulties to institutional differences. Managing China's rise and assertiveness will require a judicious use and application of resources on India's part to maintain a balance of power in Asia, in the Indo–Pacific, and in world affairs. Four, India has long faced a persistent challenge from a revisionist Pakistan, which has used its military, intelligence, and terrorist resources to undermine Indian interests under a nuclear umbrella. While the Pakistan challenge has in some ways become easier to manage for India, as the power disparity has shifted in India's favour, it has not disappeared entirely. Fifth, although there are many non-traditional and transnational challenges to India's welfare—including climate change, food and energy security, pandemics, terrorism, inflation, trade disputes and the proliferation of weapons of mass destruction—India's ability to respond to them is often inhibited by strong vested interests at multilateral organizations that manage